Collections Performance & Rs. 10 Cr Investment Recommendation

August 2026

Executive Conclusion

The reported 11% month-on-month recovery improvement is not supported by the independent analysis. After accounting for duplicated payment IDs, July recovery increased approximately 6.5% month-on-month, while recovery per targeted account increased approximately 4%. The analysis also identified material data-quality and denominator issues that make the reported metric unreliable without correction.

1. What Happened?

Raw successful-payment recovery increased from June to July, but the independently reconstructed improvement was materially below the reported 11%. Raw recovery increased approximately 6.47%, while payment-ID-deduplicated recovery increased approximately 6.65%. Recovery per targeted account increased approximately 4.00% on the raw basis and approximately 4.19% after payment deduplication.

The improvement therefore appears real in direction, but the magnitude reported by the business is overstated.

2. Why Did It Happen?

Facts

- 500 payment IDs were duplicated.
- Rs. 37.3M (~Rs. 3.73 Cr) of payment value was potentially duplicated.
- 66.72% of calls changed hour after timezone normalization.
- 13.24% of calls changed calendar date.
- 6,526 accounts had call attempts but were absent from the daily targeting population.
- Agent identity mapping showed severe identifier inconsistency, with agent IDs mapping to multiple employee codes and names.

Strong Evidence

Portfolio risk and DPD composition remained broadly similar across June and July, so the observed recovery improvement does not appear to be explained primarily by a large portfolio-mix shift.

Strong Evidence / Hypothesis

Strategy and channel performance were heterogeneous. v3 showed a 35.7% increase in recovery per targeted account from June to July while its targeting share remained broadly stable. This makes improved targeting a strong investment hypothesis, but the observational analysis does not establish causality.

3. Is the 11% Real?

Metric	Result
Business-reported MoM improvement	11.00%
Independent raw recovery MoM	6.47%
Independent deduplicated recovery MoM	6.65%
Raw recovery / targeted account MoM	4.00%
Deduplicated recovery / targeted account MoM	4.19%

Verdict: No. The 11% claim is not reproduced by the independent recovery definition.

4. Rs. 10 Cr Recommendation

Recommendation: Better Borrower Targeting

Allocate the Rs. 10 Cr investment toward better borrower targeting, subject to controlled experimentation before full-scale deployment.

Evidence

Strategy v3's recovery per targeted account increased from Rs. 5,515.67 in June to Rs. 7,483.78 in July, an observed increase of 35.7%. The targeting share of v3 remained broadly stable, increasing from 25.38% to 25.79%, suggesting that the improvement cannot simply be explained by a large increase in v3 allocation.

This is observational evidence rather than causal evidence. A controlled A/B experiment should therefore be used to validate incremental recovery before committing the entire investment.

5. Financial Impact

Scenario	Realization of Observed v3 Uplift	Annual Incremental Recovery
Downside	25%	~Rs. 11.2 Cr
Base	50%	~Rs. 18.7 Cr
Upside	100%	~Rs. 37.4 Cr

Investment: Rs. 10 Cr

Base case: Incremental recovery ≈ Rs. 18.7 Cr/year, ROI ≈ 87%, break-even ≈ 6.4 months.

These are scenario estimates, not measured causal returns. They assume that a portion of the observed v3 uplift can be reproduced through improved targeting at scale.

6. Confidence & Next Step

Confidence: Medium-Low

Confidence is limited by duplicate payment events, inconsistent agent identifiers, timezone inconsistencies, denominator discrepancies, and the observational nature of campaign assignment.

Next Experiment

Randomly assign comparable borrowers within the same risk/DPD strata to current targeting versus improved targeting, measure incremental recovery per targeted account, and evaluate over a predefined attribution window.